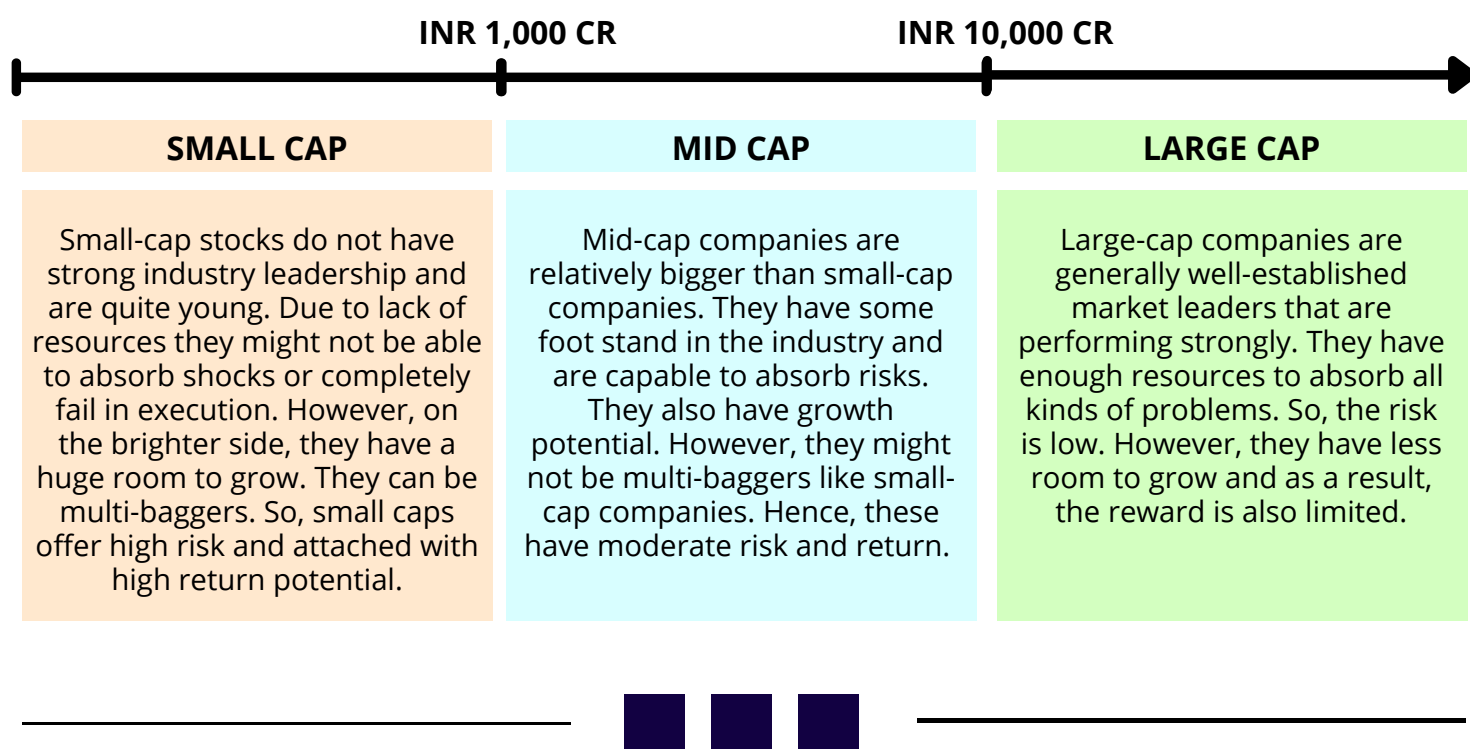


SMALL CAP | MID CAP | LARGE CAP

The terms- large-cap, mid-cap and small-cap relate to the capitalization of the company. Large caps refer to the companies that are relatively larger in terms of value. There are no fixed rules for the threshold to be a large-cap. In India, there exists an unsaid rule which implies that large-cap companies have a market cap larger than Rs. 10,000 crore. Mid-cap stocks refer to stocks with a market cap between Rs. 1,000 to Rs. 10,000 crore. Small-cap stocks refer to stocks with a market cap of less than Rs. 1,000 crore. Companies in different market cap range exhibit different behaviour and have different risk-reward characteristics.



Understanding market cap is very important. This is because each capitalization category exhibits very different risk-reward behaviour. It helps investors understand the kind of return and risk that can be expected from them. This understanding will play a critical role in allocating our assets based on our risk-taking ability.